

FEDERAL MARITIME COMMISSION

DOCKET NO. 21-16

**WAN HAI LINES, LTD. AND WAN HAI LINES (USA) LTD. — POSSIBLE VIOLATIONS
OF 46 U.S.C. § 41102(c)**

SETTLEMENT AGREEMENT

This Agreement is entered into between:

(1) the Federal Maritime Commission's Bureau of Enforcement, Investigations, and Compliance hereinafter referred to as BEIC, as successor to the Bureau of Enforcement, and

(2) Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd. hereinafter referred to as "Respondents" or "Wan Hai".

WHEREAS, the Federal Maritime Commission (Commission) instituted this proceeding against Wan Hai for the recovery of civil penalties for alleged violations of 46 U.S.C. § 41102(c) of the Shipping Act of 1984 (Shipping Act); and

WHEREAS, BEIC was made a party to this proceeding; and,

WHEREAS, such a proceeding is based on the Commission's allegation that Wan Hai engaged in certain practices, to wit:

Wan Hai is alleged to have violated 46 U.S.C. § 41102(c) by failing to establish, observe, and enforce just and reasonable regulations and practices relating to its assessment of charges on containers when return locations with corresponding appointments were unavailable.

WHEREAS, the Commission is authorized under 46 U.S.C. § 41109, and Subpart W of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.601, *et seq.* to settle and collect civil penalties arising from the alleged violations set forth and described above; and,

WHEREAS, BEIC and Wan Hai believe it is in the best interests of the parties and the shipping public to resolve this proceeding under the conditions stated herein rather than engage in continued litigation; and,

WHEREAS, Wan Hai has agreed to undertakings with respect to the conduct that is the basis of the alleged violations set forth and described above;

NOW THEREFORE, in consideration of the premises herein, and in compromise of all civil penalties arising from the alleged violations set forth and described above, Wan Hai and BEIC hereby agree upon the following terms and settlement:

1. Within ten (10) calendar days after a decision approving this Settlement Agreement becomes administratively final, Wan Hai shall make monetary payment of civil penalties to the Commission, by cashier's or certified check or by online payment, in the total amount of \$950,000.00.
2. Within fifteen (15) calendar days after a decision approving this Settlement Agreement becomes administratively final, Wan Hai shall refund to the underlying parties charges collected under the twenty-one (21) invoices at issue in this proceeding as listed in Attachment A to the Order of Investigation and Hearing.
3. Upon submission of this Settlement Agreement to the Administrative Law Judge, Wan Hai agrees to cease and desist from knowingly assessing detention charges where: (a) Wan Hai failed to provide an equipment return location; (b) where Wan Hai identified an equipment return location that was not accepting the container chassis; or (c) where appointments were unavailable for equipment return, so as to comply hereafter with the Interpretive Rule regarding Detention and Demurrage, 46 C.F.R. § 545.5(c)(1); 85 FR 29638 (May 18, 2020).

4. BEIC and Wan Hai shall jointly submit to the Administrative Law Judge a motion seeking approval of this Settlement Agreement.
5. Wan Hai hereby waives all rights now and, in the future, to seek judicial review or otherwise challenge or contest the validity of the order entered pursuant to this Agreement.
6. Upon a decision of the Administrative Law Judge or the Commission approving this Settlement Agreement becomes administratively final, this instrument shall forever bar the commencement or institution of any assessment proceeding or other claim for recovery of civil penalties from Wan Hai arising from the alleged violations set forth above as related to the twenty-one (21) invoices identified in Attachment A to the Order of Investigation and Hearing.
7. It is expressly understood and agreed that this Agreement is not, and is not to be construed as, an admission by Wan Hai to the alleged violations set forth above.
8. This agreement is subject to approval by the Commission in accordance with 46 C.F.R. § 502.603. If the agreement is not approved, all Wan Hai's obligations hereunder shall cease.

ON BEHALF OF Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd.

By: _____

Title: _____

Date: _____

Stein, Josh P

Digitally signed by Stein,
Josh P
Date: 2023.02.24
15:36:21 -05'00'

ON BEHALF OF THE FEDERAL MARITIME COMMISSION

By: **Lucille L.
Marvin** _____

Digitally signed by Lucille
L. Marvin
Date: 2023.02.23
16:21:12 -05'00'

Lucille L. Marvin, Acting Director
Bureau of Enforcement, Investigations, and Compliance